

VSEUS Weekly Economics Gazette Newsletter

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.

Send us feedback to finance@vseus.ca!

Market Overview:

This week there was a market pull back as investors grew concerned about the profitability of AI investments and rising commercial tensions with China. Major tech giants suffered a significant decline.

NDVA (-9.13%)

META (-6.58%)

MSFT (-5.40%)

However, on the other side, the market impacted Alphabet and Amazon differently, as they were able to justify this AI investment, considering the recent growth that their cloud services experienced.

The **S&P 500 fell roughly 3%**, while the **Dow declined about 2%**

Blue Jays Lose, Prediction Markets Ramp Up to Win

Article 1: Understanding Prediction Markets, Types, Uses, and Real-World Examples

Author, Source & Date Published: Ketelyn Peters, October 26th, 2025

Link: [Investopedia](#)

If you spent your last Saturday evening with eyes locked on a TV screen, biting your nails as the World Series crescendoed into an 11-inning finale, then you might have been one of millions who placed a bet on who would take the Commissioner's Trophy home.



Sports betting is, after all, as old as civilization itself.¹ But the institutions and markets that facilitate it have evolved rapidly over time. It is no longer a staggering walk over to the counter to sniff out the fastest pony. Sports betting, or betting on any uncertain future event really, has become a complex and regulated market of its own. Most recent of all perhaps, are prediction market-places like the platform Polymarket, where a trade volume of almost 19 million USD was placed on the two teams over the last weekend. **Intercontinental Exchange (parent company of New York Stock Exchange) recently invested 2 billion dollars in Polymarket.** And if that wasn't enough to turn heads, **Trump Media & Technology Group has geared up to launch Truth Predict**, allowing the social platform's users to bet on any odds they desire; whether it be a Lakers game or whose posterior will keep the Oval chair warm. All this hype has brought a lot of attention to this fast-growing sector. But **what exactly are prediction markets?**

Key Takeaways

- No one is betting against you, it's just you against the odds. Most sports betting, whether done in a smoky tavern or on the most user-friendly app, will require that the house take the opposite side of whomever or whatever you're betting on. In the predictions market, **it's the aggregate expectations that will dictate the odds.**

¹ Traced back to 4000-3000 BC when Egyptians invented dice and board games!

"Assets" can take prices between 0 and 1. Let's say we're predicting whether it will rain tomorrow or not, rain = 50 cents and sunshine=50 cents. All participants will then consult their weather apps or tarot cards and begin to place their bets by buying shares. The weight of the trade volume will go in one direction. For us Vancouverites, rain will be 80 cents in no time. Most people will believe it's going to rain and will "invest" their money accordingly. Now if you have \$100. You can buy 125 shares which, in the very probable case of rain, will pay you out \$125 **(25% return)**. If you, however, put your faith in the sun, you'll be able to buy 500 shares at 20 cents each. And if the sun smiles, you win \$500 **(400% return!)**.

- **Prediction markets are quite similar to futures.**² The investor will bid higher or lower than the asset price based on how they forecast the future movement of that particular asset. Except, the bidding is not the price of an asset but rather the outcome of an event.
- **Prediction markets allow direct investment in an event.** How? Imagine you believe one party will beat another in the next Canadian election. Without prediction markets, you'd have to scour TSX and figure out which stock will go up or down based on election results. Now, **there is an asset that will directly allow you to multiply (or lose) your money based on the outcome alone.**

Educational Angle:

Prediction markets do more than just add a dose of adrenaline to an otherwise uneventful event. **They are brilliant at prognosis and aggregating expectations.** During the past U.S. election, they were more effective in predicting the president-elect than the fanciest polls across states.

If you've ever reluctantly brushed past macroeconomics concepts, you are more than familiar with words like Ricardian equivalence, foresight, or consumer expectations. What the masses expect to happen is often a self-fulfilling prophecy and understanding expectations is a core feature of predicting where the economy is headed. **Prediction markets are in a sense information markets; instruments that seamlessly reflect aggregate expectations**, what an economist desires most.

Keeping their benefits in mind, prediction markets are an unregulated space, with no roadmap and little guidance provided to the user. Readers are advised to accept Vancouver for the rainy place it is; sports-betting is sports-betting even when fancy finance words are involved.

² They operate as financial futures which helps them circumvent sports-betting regulations. Sounds clever but it's a big topic of debate. You can read more here: [Predicting a brighter regulatory future for prediction markets](#)

Green Is the New Alpha

Article 2: BlackRock Manager Says AI Bust Won't Derail Clean-Tech Bets

Author, Source & Date Published: Alastair Marsh, November 3, 2025

Link: [Bloomberg article](#)

Clean-energy stocks have outpaced the S&P 500 year-to-date. Trump's 'drill, baby, drill' rhetoric didn't cause the negative shock many expected, which only seems to be getting more attractive with time.



TradingView, ICLN vs S&P 500 performance YTD, as of Nov 7 2025

What are the main drivers?

- **Surging electricity demand from AI and data centers:** The AI revolution is driving an unprecedented need for power. Each new data center running large models demands massive, continuous electricity. With most new nuclear projects not expected online until 2030-2032, investors and utilities are turning to solar and wind to meet this gap. The result has been a wave of capital flowing into clean-energy producers and equipment suppliers, lifting their stock performance.
- **Policy tailwinds and investment incentives:** Governments around the world are reinforcing this momentum with strong policy support. Tax credits, subsidies, and clean-energy investment programs. These incentives attract both domestic and international capital, accelerating renewable installations and strengthening the earnings outlook for these green companies.

Career Spotlight

What is Wealth Management?

Wealth Management focuses on **selecting** and **overseeing** investments to meet financial returns considering client needs and risk appetite.

There are different approaches to it:

1. **Active:** The aim is to outperform an index, which requires taking more risk to hit higher returns. It is associated with higher management fees.
2. **Passive:** Create a financial portfolio that mimics the return of an index.

You could interpret the role of wealth management through the lens of an optimization problem:

We want to maximize our ROI³ (Return on investment) considering the risk absorbed and obliged to our mandates as financial specialists.

$$\text{MAX } x_1(1 + r) + x_2(1 + r) + \dots + x_n(1 + r)$$

The different “Xn” represent the various securities included in the client’s portfolio. However, investing is not only about achieving the highest possible return. It is also about meeting the client’s specific needs and circumstances.

These needs may include:

- Liquidity, the client might require access to cash in case of emergencies
- Risk sensitivity, as the appropriate level of risk depends on the client’s goals
- Preferences (stage of life)
- Personal specifications, such as maintaining a certain percentage of the portfolio in fixed income⁴ or other asset classes.

I want students to understand that **a higher annual return doesn’t necessarily mean an investor is doing better than others**. Returns must always be viewed in the context of risk. A skilled investor isn’t simply the one with the highest return, but the one who consistently outperforms the expected return or benchmark given the level of risk they take.

True professional performance goes a step further, it accounts for **risk-adjusted returns after taxes and management fees**. That’s what defines real, sustainable investment success over the long run.

³ Return on investment: (Net Profit) / (Cost of Investment) *100

⁴ Fixed Income: Investments that provide regular, fixed payments of interest and return the principal at maturity.